are present, there may be a role for the state to step in, exercise its monopoly of coercive power, and induce better outcomes.

As an example, the criminal justice system exists in order to prevent the externality imposed by one person who inflicts personal harm upon another person. The state runs the criminal justice system, through which the externality of crime is blocked. We empower individuals through state action, when the criminal justice system generates deterrence. When the fear of crime is removed, individuals are free to pursue life, liberty and happiness.

Asymmetric information is found in situations like a customer buying medicines at a shop. The customer has no way of knowing if the medicines are adulterated. This fear changes the behaviour of customers and (ultimately) producers.

A high degree of asymmetric information can create conditions under which voluntary or market-based transactions become infeasible. As an example, these situations are seen with credit or insurance markets, where the market can even cease to exist owing to the inability of private persons to solve the problem of asymmetric information. These missing markets fall under the problem of market failure associated with asymmetric information.

Market power is found when a few firms achieve a dominant position in a market. Monopolies tend to reduce the output and raise the price. Left to itself, the free market system delivers poor outcomes in the areas where one side of the market wields disproportionate power. For example, the Italian firm Luxottica controls 80 per cent of the global market for eyeglasses. [3] This gives them the ability to earn supernormal profits.

Finally, *public goods* such as clean air are underproduced by the free market. In technical jargon, public goods are things that are ‘non-rival’ and ‘non-excludable’. Clean air is ‘non-rival’, as my breathing clean air does not diminish the amount of clean air available to you. Clean air is ‘non-excludable’, as it is not possible to exclude a newborn child from breathing in clean air.